

# Customer Research Report: Authentic Tea Shop

## Executive Summary

The proposed business is a physical authentic tea shop with college students identified as an important target segment. The supplied research supports a preliminary customer strategy focused on students, nearby workers and residents, local tea drinkers, and culturally connected customers. College students may value affordable and visually appealing drinks, comfortable seating, Wi-Fi, fast service, loyalty rewards, delivery, mobile ordering, and social-media-friendly products. However, local student demand, preferences, budgets, willingness to pay, and preferred tea styles have not been validated. The business should test a focused combination of traditional tea and approachable modern beverages before committing to a permanent location.

## Business Overview

The business concept is assumed to be a physical tea shop offering authentic, high-quality tea. Potential offerings may include traditionally prepared tea, loose-leaf tea, modern tea beverages, snacks, tea accessories, tastings, cultural experiences, gift sets, and online ordering. The specific city, tea tradition, shop format, customer age range, and definition of authenticity remain undefined. These factors will significantly affect the customer segments, product preferences, and purchasing behavior.

## Customer Analysis

The recommended initial customer focus is local tea drinkers, nearby workers and students, and culturally connected customers seeking authentic tea in a welcoming cafe environment. College students are a particularly relevant segment because the user identified them as an intended customer group. College students and younger cafe customers may be attracted by affordable drinks, attractive presentation, Wi-Fi, comfortable seating, convenient locations, fast service, loyalty rewards, delivery, mobile ordering, and social-media-friendly products. They may use the shop for study sessions, social meetings, afternoon breaks, and an alternative to coffee shops. Their likely price sensitivity suggests that entry-level drinks, smaller sizes, combos, student-oriented promotions, loyalty discounts, and affordable takeaway options may be relevant, although no local willingness-to-pay evidence has been supplied. Student preferences are not yet known. It is uncertain whether the local college market will prefer traditional tea, matcha, milk tea, iced tea, fruit tea, herbal beverages, coffee alternatives, or a combination. A limited hybrid menu could potentially serve students who want familiar modern drinks while also presenting authentic traditional tea, but this approach requires local testing. Other relevant customer segments include tea enthusiasts, culturally connected or diaspora customers, wellness-oriented consumers, gift buyers, nearby workers and residents, and business customers such as offices, hotels, restaurants, and event organizers. Tea enthusiasts may value origin, processing method, authentic preparation, flavor information, ethical sourcing, brewing equipment, staff knowledge, loose-leaf tea, teaware, tastings, and premium packages. Culturally connected customers may value familiar traditional flavors, correct preparation, culturally recognizable snacks, imported products, community, and respectful representation. Wellness-oriented consumers may seek herbal infusions, green tea, matcha, caffeine-free choices, low-sugar drinks, and ingredient transparency. Products should be described through flavor, ingredients, tradition, and experience rather than unsupported medical claims. Gift buyers may value attractive packaging, gift bundles, clear explanations, personalization, and convenient ordering. Nearby workers and residents are likely to prioritize location, speed, consistency, convenience, and price. Customer functional needs may include consistently good tea, clear menus, fast preparation, authentic recipes, comfortable seating, takeaway, online ordering, delivery or pickup, multiple caffeine levels, non-dairy and low-sugar choices, beginner-friendly explanations, and reliable opening hours. Emotional needs may include relaxation, discovery, cultural connection, community, a quiet place to work or meet, and confidence that the shop is genuinely authentic. Trust will be especially important because authenticity is difficult to communicate. Customers may look for transparent tea origins, supplier information, correct preparation methods, knowledgeable staff, respectful cultural storytelling, consistent taste, honest ingredient descriptions, and a clear distinction between traditional and modern beverages. Potential customer pain points include poor-quality tea marketed as authentic, confusing menus, inconsistent preparation, limited drink choices,

excessive sweetness, high prices without explanation, slow service, cultural inauthenticity, an uncomfortable atmosphere, and limited dairy-free, vegan, decaffeinated, allergen-aware, or sugar-free options. Traditional preparation may appeal to some customers but could create service delays or inconsistency during busy student periods without clear procedures and staff training. Likely first-purchase influences include location, Google reviews, visual appearance, menu photos, recommendations, cultural reputation, product sampling, price, social-media content, cleanliness, and ease of ordering. Repeat purchases may be driven by consistent taste, friendly staff, convenience, loyalty rewards, a comfortable atmosphere, seasonal products, trust in authenticity, good value, and fast service. Potential customer-acquisition channels include Google Business Profile, Google Maps, local SEO, street signage, nearby universities and student groups, local food directories, social media, cultural organizations, hotels, restaurants, corporate offices, event planners, and wellness or community partnerships. Useful retention methods include digital or physical loyalty programs, email or SMS communication, subscriptions, birthday rewards, early access to seasonal products, and referral incentives. Potential events include tea tastings, beginner brewing classes, cultural tea ceremonies, matcha workshops, tea-and-dessert pairings, student nights, seasonal celebrations, and local artist exhibitions. Customer demand should be validated before a lease is signed. Recommended validation activities include interviewing 20 to 30 potential customers, visiting nearby beverage businesses, testing products through a pop-up or market stall, holding a tasting event, creating a local social-media page, testing three price points, and asking students where they currently buy beverages, what they typically pay, what they dislike about existing options, how far they would travel, and whether they prefer traditional, modern, or hybrid tea offerings.

## Opportunities

- Target college students with affordable, fast, visually appealing tea drinks, study-friendly seating, Wi-Fi, loyalty rewards, and student-focused events.
- Combine authentic traditional tea with a limited selection of approachable modern beverages to serve different levels of tea familiarity.
- Differentiate through transparent tea origins, correct preparation, knowledgeable staff, respectful cultural storytelling, and clear separation between traditional and modern offerings.
- Create repeat visits through nearby students, workers, residents, and office customers.
- Use tastings, workshops, cultural events, tea-and-dessert pairings, student nights, and seasonal products to create additional customer occasions.
- Offer low-sugar, unsweetened, dairy-free, vegan, caffeinated, and caffeine-free choices where consistent with the intended concept.
- Build partnerships with universities, student groups, cultural organizations, offices, hotels, restaurants, event planners, local artists, and community organizations.
- Use product sampling, clear menu explanations, origin information, and staff education to reduce customer uncertainty and support trust in authenticity.

## Risks

- The shop may fail to attract enough students if its location, tea style, menu, atmosphere, or price level does not match local demand.
- College students may be highly price-sensitive and may visit less frequently during academic holidays.
- Customer preferences for traditional tea, matcha, milk tea, iced tea, fruit tea, or other beverages are unknown.
- Authenticity claims may create reputational risk if tea origins, cultural traditions, preparation methods, or storytelling are inaccurate or superficial.
- Traditional preparation may result in slow service or inconsistent quality during busy periods.
- A confusing menu or unfamiliar tea terminology may discourage first-time customers.

- Premium pricing may be rejected if customers do not understand the tea's origin, quality, preparation, or experience.
- An uncomfortable, noisy, or poorly designed environment may reduce study visits and repeat purchases.
- Trying to serve students, enthusiasts, tourists, wellness customers, gift buyers, and business customers simultaneously may dilute the customer proposition and complicate operations.
- Unsupported health claims could create customer trust and compliance risks.

## Assumptions

- College students are an important intended customer segment because the user explicitly identified them.
- The business will operate as a physical tea shop with a welcoming cafe environment.
- The shop may serve both traditional tea customers and modern cafe customers.
- Authenticity, consistency, staff knowledge, atmosphere, convenience, and value may influence customer choice, but these factors require local validation.
- Students may respond to affordable drinks, loyalty incentives, comfortable seating, Wi-Fi, fast service, delivery, mobile ordering, and social-media-friendly products.
- The shop may offer some combination of prepared beverages, loose-leaf tea, snacks, accessories, gift sets, tastings, events, or online ordering, but these offerings have not been confirmed.
- Tea products should be marketed through taste, ingredients, tradition, and experience rather than unsupported medical claims.

## Missing Information

- Country, city, neighborhood, and proposed site.
- Specific tea tradition or traditions to represent.
- Definition of authentic tea for the business.
- Whether the concept will be traditional, modern, or hybrid.
- Size, demographics, schedule, preferences, and budget of the nearby college-student population.
- Whether students prefer traditional tea, matcha, milk tea, iced tea, fruit tea, herbal beverages, or other options.
- Whether the shop will offer dine-in seating, takeaway, delivery, online ordering, or retail products.
- Menu details, product sizes, snacks, desserts, milk options, sweetener options, and caffeine-free offerings.
- Local customer interviews, surveys, product tests, tasting results, observed behavior, and willingness-to-pay evidence.
- The distance students and other target customers would travel to visit the shop.
- Local customer acquisition channels and the effectiveness of reviews, social media, sampling, partnerships, and student events.
- Brand identity, cultural expertise, staff knowledge, and training plan.
- Whether the shop will offer ceremonies, workshops, catering, subscriptions, wholesale, or corporate services.

## Conflicting Information

None identified.

## Next Steps

- Define the intended city, neighborhood, tea tradition, shop format, and meaning of authenticity.
- Identify nearby colleges and estimate the relevant student population, schedules, transportation access, and likely peak demand periods.
- Interview 20 to 30 students and other potential customers about current beverage habits, preferred tea styles, typical spending, purchase occasions, and dissatisfaction with existing options.
- Test a small menu containing both authentic traditional tea and a limited number of modern drinks through a pop-up, market stall, or tasting event.
- Test three price points with students and record purchase interest, preferred products, and objections.
- Visit nearby tea shops, cafes, coffee shops, and beverage businesses to observe customer types, wait times, menu clarity, seating, and service patterns.
- Create a local social-media page and measure interest in proposed drinks, events, study space, and cultural experiences.
- Assess whether students would use Wi-Fi, delivery, mobile ordering, loyalty rewards, student nights, or study seating.
- Develop a clear menu that explains tea origins, preparation styles, caffeine levels, sweetness options, ingredients, and the distinction between traditional and modern beverages.
- Use validation results to select a primary customer segment and limit the launch offering to products that match demonstrated demand.